

Test Yourself

Macroeconomics

Balance of Payments +

Policies

Section A

Duration of each question is **40 mins**

1. Explain how import tariffs might correct an imbalance in the current account of the balance of payments **and** consider whether these tariffs are the best way of correcting such an imbalance. (8) **q5a/23/O/N/23**
2. A country has a persistent deficit on the current account of its balance of payments. Assess the likely consequences for the domestic and external economy of this country. (12) **q5b/23/O/N/23**
3. Assess whether protectionism is the best way to correct a deficit in the current account of the balance of payments. (12) **q4b/22/M/J/23**
4. Assess whether supply-side policies are the most effective way to correct a deficit on the current account of the balance of payments of an economy. (12) **q5b/22/F/M/23**
5. Assess whether an economy will always benefit from having a surplus on the current account of its balance of payments. (12) **q5b/21/O/N/24**
6. Assess whether protectionism is always the best way of reducing a deficit on the current account of the balance of payments. (12) **q5b/23/O/N/24**
7. Assess whether contractionary fiscal policy is likely to be the best way to reduce a current account deficit on the balance of payments. (12) **q4b/22/F/M/24**

8. Explain what is meant by a deficit on the current account of an economy's balance of payments and consider whether a high rate of inflation will always lead to a deficit on the current account of an economy's balance of payments. (8) **q5a/specimen23**

9. Assess whether a high rate of inflation or a deficit on the current account of the balance of payments is the more serious problem for an economy. (12) **q5b/specimen23**

Section B

Duration **1 hour**

1. What is an expenditure-switching policy to reduce a country's balance of payments deficit?
- A** an increase in budget surplus
 - B** an increase in direct taxes
 - C** an increase in import tariffs
 - D** an increase in interest rates

2. Which components are included in the financial account of the balance of payments?

	the balancing item	foreign direct investment	interest, profits and dividends
A	✓	✓	x
B	✓	x	x
C	x	✓	✓
D	x	x	✓

key

✓ = included

x = not included

3. In 2018 the United States (US) government introduced tariffs on a wide range of imports from China.

Which type of policy was the US government adopting?

- A** expenditure-reducing
- B** expenditure-switching
- C** monetary
- D** supply-side

4. A government decides to devalue the country's currency to remove the deficit on its current account of the balance of payments.

What is the most likely reason why this would **not** work?

- A The country gains a competitive advantage from the devaluation.
- B The country has a surplus on its capital and financial accounts.
- C The price elasticities of demand for the country's exports and imports are greater than one.
- D There are high trade barriers with the country's main trading partners.

5. The table shows an extract from a country's balance of payments.

	exports \$ billion	imports \$ billion
trade in goods	150	200
trade in services	70	50
primary (investment) income	120	100
secondary (transfer) income	15	20

What is the current account balance?

- A -\$10 bn B -\$15 bn C -\$30 bn D -\$50 bn

6. The table shows information from the current account of the balance of payments for Canada and Singapore in 2019.

	Canada (US\$ million)	Singapore (US\$ million)
exports of goods	448 360	440 800
imports of goods	462 105	342 805
exports of services	100 350	204 810
imports of services	115 270	119 050
primary income balance	-3 475	-34 340
secondary income balance	-2 060	-6 280

What can be concluded from the table?

- A Canada exported more goods than Singapore.
- B Canada and Singapore had current account deficits.
- C Singapore had a surplus on its trade in goods and services.
- D Singapore imported cheaper goods than Canada.

7. What is likely to explain an increase in the deficit on a country's current account of the balance of payments?
- A an increase in government foreign aid to countries abroad
 - B an increase in government tax rates
 - C an increase in other countries' exchange rates
 - D an increase in the proportion of income saved by the country's residents
8. What does the Marshall–Lerner condition state must be present for a depreciation of a currency to cause an improvement in the current account balance?
- A The price elasticity of demand for exports and the price elasticity of demand for imports are both greater than one.
 - B The price elasticity of demand for exports and the price elasticity of demand for imports are both less than one.
 - C The sum of the price elasticity of demand for exports and the price elasticity of demand for imports is greater than one.
 - D The sum of the price elasticity of demand for exports and the price elasticity of demand for imports is less than one.
9. Raising interest rates is proposed to reduce a balance of payments deficit.
- Which justification for this action is **not** valid?
- A It will attract more foreign currency inflows.
 - B It will encourage exporters to find new foreign markets.
 - C It will lower the level of imported consumer goods.
 - D It will put downward pressure on the exchange rate.
10. Trade in services is a component of the current account of the balance of payments.
- What is an example of a trade in services?
- A development aid for foreign countries
 - B export revenue from primary commodities
 - C income from foreign tourists
 - D income from overseas investments

11. A country experiences a fall in the value of exports and an increase in the value of imports of goods and services.

What are the effects of these changes?

	aggregate demand	balance of payments on goods and services
A	fall	improve
B	fall	worsen
C	rise	improve
D	rise	worsen

12. Which combination of policies would be most effective in reducing a balance of payments current account surplus?

	a decrease in tariffs on imports	a devaluation of the exchange rate	an expansionary monetary policy
A	no	yes	no
B	no	no	yes
C	yes	no	yes
D	yes	yes	no

13. A government wishes to reduce the deficit on the secondary income section of its current account.

Which policy would be most effective?

- A an increase in subsidies to exporters
- B an increase in the tariffs on imports
- C a reduction in the number of migrant workers allowed into the country
- D a reduction in overseas aid donations

14. A Bangladeshi citizen is employed as a construction worker in Qatar. He sends some of his wages to his family in Bangladesh.

How will this be recorded on Qatar's balance of payments?

- A as part of the balance of trade in services
- B as part of net primary income
- C as part of net secondary income
- D as part of the financial account

15. Which policy is most likely to help to correct an adverse balance on the current account of the balance of payments?

- A abolishing tariffs
- B depreciating the currency
- C reducing direct taxes
- D reducing indirect taxes

16. A country had a current account surplus of \$141bn.

Which policy may its government implement to reduce this surplus in the short run?

- A a decrease in direct taxes
- B a decrease in regulations to encourage more foreign firms to locate in this country
- C an increase of import duties
- D an increase in interest rates

17. Which item is **not** included in the current account of a country's balance of payments?

- A exports of services
- B interest on foreign loans
- C profits from foreign investments
- D the purchase of foreign assets

18. A Kenyan banker who lives and works in India sends 15% of their wage back to Kenya every month.

What would be the change in the current account components for either country?

- A a fall in secondary income for India
- B an increase in the balance of trade in services for Kenya
- C an increase in the current account surplus for India
- D an increase in primary income for Kenya

19. A country's current account deficit is larger this year than last.

What is the most likely reason for this increase?

- A Demand for domestically produced goods has risen.
- B Domestic inflation has risen faster than the inflation of its major trading partners.
- C Domestic unemployment has risen.
- D The exchange rate has depreciated.

20. A foreign government pays a UK university to educate its students.

How would this be recorded on the balance of payments current account of the UK?

	current account component	money flows
A	secondary income	inflow
B	secondary income	outflow
C	trade in services	inflow
D	trade in services	outflow

21. Which components are included as primary income in the current account of the balance of payments?

	trade in goods	current transfers	employment income from abroad
A	✓	✓	✓
B	✓	x	x
C	x	✓	x
D	x	x	✓

key

✓ = included

x = not included

22. What is the most likely cause of a current account deficit on the balance of payments?

- A an undervalued exchange rate
- B a relatively low rate of inflation
- C a shrinking domestic economy
- D a general fall in national productivity

23. The table shows selected items of the balance of payments of a country in 2015.

	\$ billions
net portfolio investment	+40
trade in goods	−100
trade in services	+50
interest, profit and dividends (primary income)	+10
current transfers (secondary income)	+10
transactions in financial assets	−10

What was the country's current account balance in 2015?

- A −\$40 billion B −\$30 billion C −\$20 billion D −\$10 billion

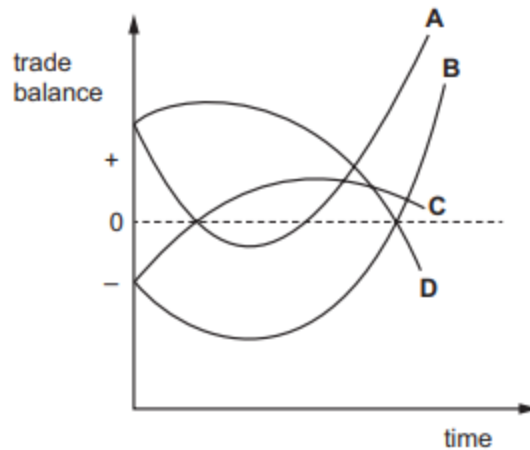
24. What is likely to explain an increase in the deficit on a country's current account of the balance of payments?

- A an increase in government foreign aid to countries abroad
- B an increase in government tax rates
- C an increase in other countries' exchange rates
- D an increase in the proportion of income saved by the country's residents

25. In a country the Marshall-Lerner condition for an improvement in the trade balance is satisfied in the long run, but quantities of imports and exports are slow to respond to price changes.

The government devalues its currency to reduce its trade deficit.

Which curve indicates the probable behaviour of the trade balance?



26. The balance of payments accounts are arranged in the following way.

Which total is the current account balance?

balance of trade in goods	
+ balance of trade in services	= total A
+ net income (primary income)	= total B
+ net transfers (secondary income)	= total C
+ capital balance	= total D
financial balance	
errors and omissions	

27. A country has a long-running current account deficit on the balance of payments.

Its government was using an expenditure-switching policy but decides to change to an expenditure-reducing policy.

What could have been the old policy and its new policy?

	old policy	new policy
A	export subsidies	quotas
B	income tax	interest rate
C	quotas	exchange rate control
D	tariffs	income tax

28. A British citizen buys a house in the US which he rents to American citizens in order to receive an income for himself.

Where will the initial purchase and then the rent be recorded on the UK balance of payments?

	initial purchase	rent
A	capital account export	current account import
B	capital account import	current account export
C	current account export	capital account import
D	current account import	capital account export

29. A country with a balance of trade deficit raises interest rates.

How may this help to reduce the deficit in the short run?

- A** by increasing the inflow of foreign direct investment
- B** by lowering the foreign exchange rate
- C** by raising the level of domestic capital investment
- D** by reducing the level of domestic aggregate demand

30. A country's balance of payments current account is in deficit.

How can this be restored to equilibrium, assuming the Marshall-Lerner condition holds?

- A** increase the exchange rate
- B** reduce income tax
- C** reduce primary income
- D** subsidise domestic producers

Question	Answer	Marks
1	Explain how import tariffs might correct an imbalance in the current account of the balance of payments <u>and</u> consider whether these tariffs are the best way of correcting such an imbalance. Follow the point-based marking guidance at the top of this mark scheme and award: - up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis - up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) - What is meant by an import tariff (1) - What is measured by the current account of the balance of payments (1) - What is meant by an imbalance in the current account of the balance of payments in terms of a surplus or deficit. (1) AO2 Analysis (max 3 marks) For an analysis of how import tariffs will affect the prices of imports (1) and how this may affect domestic consumption on imports (1) and how this may correct the imbalance (1) Note: a diagram may be useful but cannot be expected. AO3 Evaluation (max 2 marks) Final effect is uncertain e.g., as a result of the PED for imports (1); other policies can be used (1); whether trading competitors retaliate (1). Reserve (1) for a justified conclusion.	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
2	A country has a persistent deficit on the current account of its balance of payments. Assess the likely consequences for the domestic and external economy of this country. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • Explanation of what is meant by a persistent deficit on the current account of the balance of payments. • Analysis of the consequences of a persistent deficit on the domestic economy e.g., in terms of employment levels, economic growth, inflation, living standards, government budget, business confidence, possible need to restructure the economy etc. • Analysis of the consequences of a persistent deficit on the external economy e.g., exchange rates, ability to trade, need for imports, debt interest, etc. Note: accept answers that refer to the impact on other economies when another economy has a persistent current account deficit. Max L 2 if only the consequences on the domestic or the external economy are considered. AO3 Evaluation That clearly considers the likely consequences on both parts of the economy and comes to a conclusion as to the most likely consequences. Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
3	Assess whether protectionism is the best way to correct a deficit in the current account of the balance of payments. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis (max 8 marks) Protectionism can include the use of: • Tariffs • Embargoes • Export subsidies etc. Analysis should consider the advantages and disadvantages of such a policy e.g. • Possible retaliation • Possible long-term reliance on such measures that may reduce future competitiveness etc. Analysis should also compare this policy with the advantages and disadvantages of another policy e.g., supply side policy, fiscal or monetary policy which may include: • Training and education to improve productivity. • Investment in better infrastructure • Incentives to entrepreneurs etc. • Expenditure dampening. • Encouragement of a depreciation in the exchange rate. A one-sided response can only gain a maximum of Level 2. AO3 Evaluation (max 4 marks) • Consideration of the relative effectiveness of the policies in correcting a deficit in the current account of the balance of payments. • A justified conclusion showing which policy is most likely to be successful in correcting a deficit in the current account of the balance of payments. Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
4	Assess whether supply-side policies are the most effective way to correct a deficit on the current account of the balance of payments of an economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis Successful supply-side policies will cause a rightward shift in the long-run AS curve, reflecting more efficient production. This would make a country's products more competitive in international markets and so there is likely to be an increase in net exports, correcting a deficit in the current account. Supply-side policies could include improvements in training and education, making labour markets more flexible, reductions in the powers of trade unions, an increase in competition and a reduction in rules and regulations. Potential disadvantages of supply-side policies are that they are essentially a long-run solution and so may take a relatively long period of time to have an impact, such as improvements in training and education. Some of the policies could be quite expensive and so would involve the government in considerable expenditure, money which could have spent elsewhere (giving rise to the issue of opportunity cost). Guidance: There are a number of alternative approaches to answering this question. At the simplest level, analysis and evaluation may focus on an assessment of the effectiveness of supply side policies only. Furthermore, this may be expanded to include a direct comparison with the effectiveness of alternative policies such as fiscal, monetary or protectionist policies. In addition, such an assessment may simply be part of evaluation. However, if supply side policies are ignored or receive scant attention then only a Level 2 mark may be awarded. A one-sided response can only gain a maximum of Level 2. AO3 Evaluation Points to consider may include: the cause of the deficit, the cost and ease of introducing various policies, the possible unintended consequences of introducing policies etc. leading to a justified conclusion as to whether supply-side policies would be the most effective way to correct a deficit in the current account of the balance of payments of an economy. Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	12

Question	Answer	Marks
5	Assess whether an economy will always benefit from having a surplus on the current account of its balance of payments. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis Potential benefits: • A country will have surplus foreign exchange which it could use to invest in other countries. • A high level of exports could lead to an increase in jobs in the export sector. • Lower spending on imports may mean that people are buying more domestic goods which could also increase employment. • It could stimulate economic growth. Potential disadvantages: • A current account surplus could be a sign of weak domestic demand with lower consumer spending and this could reduce domestic employment. • It could lead to lower economic growth. • The surplus could have been caused by a recession in the economy. • It can contribute to lower output and employment in those countries with a current account deficit. Level 1 responses will be assertive and lacking in explanations/mainly descriptive and/or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one-sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies/concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation • Considers the potential benefits and disadvantages of the surplus. • Considers the size of the surplus and the possible reasons for it. • In conclusion, will an economy always benefit from having a surplus? Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
6	Assess whether protectionism is always the best way of reducing a deficit on the current account of the balance of payments. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis Protectionism: • Advantages of protectionism – for example, tariffs can reduce the value of imports in the short term as infant industries grow and gain the economies of scale to enable them to be internationally price competitive. This reduction in foreign dependency will reduce the value of imports which (ceteris paribus) reduce a deficit on the current account. • Problems of protectionism includes – the ability to reduce the value of imports will be influenced by the price elasticity of demand for imports. Moreover, the possibility of retaliation thereby reducing the value of exports. This may not only limit any reduction in the current account deficit but may hinder a government's ability to achieve other macroeconomic objectives – e.g., reducing the level of unemployment or possibility of increasing cost-push inflation. • Alternative policies that may be considered include contractionary monetary policy – higher interest rates will increase the cost of debt and mortgage repayments and leave people with less money to spend. Therefore, this will reduce their consumption of imports, improving the current account. • Problems of the alternative policy – for example, an increase in interest rates will tend to cause hot money flows and therefore an appreciation in the exchange rate. This appreciation makes exports less competitive, and imports more attractive. Assuming demand is relatively elastic, this appreciation will worsen the current account. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and may be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation • Requires an assessment of the protectionism and at least one other policy in reducing a current account deficit which leads to	12

Question	Answer	Marks
7	Assess whether contractionary fiscal policy is likely to be the best way to reduce a current account deficit on the balance of payments. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • Understanding of the terms fiscal policy/current account deficit. • How contractionary fiscal policy might reduce a current account deficit – this may include increased taxation might reduce imports/reduce demand-pull inflationary pressure resulting in improved international price competitiveness. • An explanation of the limitations of fiscal policy – impact on domestic growth, unemployment. • An explanation of an alternative policy – monetary and/or supply side policies, minimum prices, regulation backed by fines. AO3 Evaluation • Consideration that fully assesses the relative effectiveness of the policies analysed in reducing a current account deficit and arrives at a reasoned conclusion concerning whether fiscal policy is the ‘best’ approach. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
8	Explain what is meant by a deficit on the current account of an economy's balance of payments <u>and</u> consider whether a high rate of inflation will always lead to a deficit on the current account of an economy's balance of payments. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) • Identification of the components of the current account of the balance of payments. (1) • The meaning of a deficit on the current account of the balance of payments. (1) • The meaning of a high rate of inflation. (1) AO2 Analysis (max 3 marks) An explanation of how a high rate of inflation will affect the relative price of exports (1) and imports (1) and how this will affect the competitiveness of the goods and services produced in this economy and the current account of the balance of payments. (1) AO3 Evaluation (max 2 marks) Considers one reason why a high rate of inflation might not lead to a deficit in the current account of the balance of payments in an economy (1) leading to a conclusion on whether it will always lead to a deficit. (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
9	Assess whether a high rate of inflation or a deficit on the current account of the balance of payments is the more serious problem for an economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis The problems that arise from a deficit on the current account of the balance of payments. These might include: • falling Aggregate Demand • declining employment • downward pressure on the exchange rate • imported inflation. The problems that arise from a high rate of inflation. These might include: • income redistribution • menu costs (or the costs to firms of having to change their prices frequently) • shoe leather costs (the inconvenience of having to hold smaller quantities of cash) • uncertainty in transactions • a decline in the competitiveness of exports. AO3 Evaluation • Considers the relative seriousness of a deficit on the current account and a high rate of inflation. • arrives at a conclusion on which problem is the more serious. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

SECTION B

1.	C	11.	B	21.	D
2.	A	12.	C	22.	D
3.	B	13.	D	23.	B
4.	D	14.	B	24.	A
5.	B	15.	B	25.	B
6.	C	16.	A	26.	C
7.	A	17.	D	27.	D
8.	C	18.	A	28.	B
9.	D	19.	B	29.	D
10.	C	20.	C	30.	D